CASE STUDY

Mala and Mary entered into a partnership business. The performance and profitably of the business were good. They wanted to expand their firm by investing more capital. But, they both had less personal savings, which was not sufficient to expand their business. So, they decided to convert their business into a limited company and registered it as M&M Ltd. The company is authorised to raise ₹ 10,00,000 divided into 1,00,000 units. To start with, M&M Ltd. bought some fixed assets such as land, furniture and fixtures from a vendor. But, M&M Ltd. did not pay cash or cheque for this.

The advertisement was given in the newspaper inviting public to buy shares of M&M Ltd. 50,000 shares were offered to the public for subscription. However, due to its profitability and popularity, M&M Ltd. received applications for 60,000 shares.

Now, discuss on the following:

1. State one reason, other than raising more capital, why may a partnership firm be converted into a limited company?
2. Apart from the issue of shares, what other sources are available for raising finance?
3. What is M&M Ltd.'s registered capital?
4. What is the value of each share?
5. Is there any other way M&M Ltd. could pay the vendor, other than credit terms, for buying the fixed assets?
6. Is M&M Ltd. allowed to issue more than 1,00,000 shares?
7. What is M&M Ltd.'s issued share capital?
8. How will the directors deal with over-subscription?

To explore further

Before investing in any company, the shareholders or any potential investors may want to know the performance of the company. From where do they get such information?

Reference

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